

Please write clearly in block capitals.

Centre
number

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Candidate
number

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Surname

Forename(s)

Candidate signature

A-level ECONOMICS

Paper 2 National and international economy

Predicted Paper Set C — Advanced

Macroeconomic analysis focus

Time allowed: 2 hours

Materials

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/2.
- Answer ALL questions in both Section A and Section B.
- Diagrams should be drawn in pencil and fully labelled.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set C — Advanced]

Section A

Answer ALL questions in this section.

Total for this section: 40 marks

Data Response: UK Fiscal Stance and the Inflation Cycle

Study Extracts A, B and C and then answer all parts of Section A which follow.

Extract A: UK Fiscal Stance and the Inflation Cycle

In 2024, UK national debt exceeded 100% of GDP for the first time since the 1960s, at £2.7 trillion. Despite this, real public spending rose 3.5%. The Office for Budget Responsibility (OBR) forecast GDP growth of 0.6% in 2024 rising to 1.4% in 2025. The Bank of England began cutting Bank Rate from 5.25% in late 2024 as headline CPI fell to 2.3%, although core inflation remained sticky at 3.6%. The pound depreciated 5% against the dollar.

Source: News reports, December 2024

Extract B: UK Macroeconomic Indicators, 2022–2025

Indicator	2022	2023	2024	2025 (F)
Real GDP growth (%)	4.3	0.1	0.6	1.4
CPI inflation (%)	9.1	7.3	3.2	2.3
Unemployment (%)	3.7	4.2	4.3	4.1
Budget deficit (% GDP)	5.1	4.3	4.8	3.9
National debt (% GDP)	85	93	101	103
Bank Rate (%)	3.5	5.25	4.75	4.0

Source: Office for National Statistics / OBR / Bank of England, 2024

Extract C: Further Commentary

Economists disagree on whether 2022–24 inflation was demand-pull (excess household savings of c. £200bn after the pandemic) or cost-push (gas prices, supply-chain disruption). By 2024 the supply-side pressures had eased, but demand remained weak owing to the lagged effect of monetary tightening.

Source: Institute for Fiscal Studies / National Institute of Economic and Social Research, 2024

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Using Extract B, calculate the change in the UK budget deficit as a share of GDP between 2023 and 2024. Show your working and state whether the change represents an increase or a decrease.

[2 marks]**0****2**

Using a fully labelled AD/AS diagram, explain the likely effect on UK real output and the price level of a cut in Bank Rate. Your answer must include both a labelled diagram AND a written explanation of the economic mechanism.

[4 marks]**0****3**

Using the extracts and your knowledge of economics, analyse two reasons why UK inflation between 2022 and 2024 may have been driven primarily by cost-push factors.

[9 marks]**0****4**

Using the extracts and your own knowledge, evaluate the view that reducing the budget deficit should be the UK government's top macroeconomic priority.

[25 marks]

Section B

Answer BOTH questions in this section.

Each essay carries a total of 40 marks.

Total for this section: 40 marks

The instruments of macroeconomic stabilisation — monetary policy operating through the transmission mechanism, and fiscal policy acting directly on aggregate demand — have been the subject of intense debate since the 2008 financial crisis and the COVID-19 pandemic. Economists dispute both how monetary policy transmits to aggregate demand, and whether fiscal or monetary policy is better suited to stabilising the macroeconomy after a deep recession.

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Explain how the transmission mechanism of monetary policy affects aggregate demand.

[15 marks]

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“Fiscal policy is more effective than monetary policy in stabilising the macroeconomy after a deep recession.” Evaluate this statement.

[25 marks]

END OF QUESTIONS